

Business Case – Semenya Tuckshop

Background

Semenya Tuckshop is a rural informal micro-retail business located in Tweefontein K, Mpumalanga. Since 2008, it has provided groceries, beverages, fast food and prepaid electricity to the surrounding community. Daily operations are managed by the Shop Owner and Shop Assistant, with inventory sourced from local wholesalers and suppliers.

Problem Statement

Although the business has successfully operated for many years, its core operational processes remain largely manual. Inventory monitoring, stock replenishment and financial reconciliation rely heavily on manual effort and operational knowledge, limiting visibility into business performance and increasing the risk of operational inefficiencies. The absence of an integrated information system makes it difficult to support accurate inventory management, timely decision-making and future business growth.

Current Business Operations (AS-IS)

Sales Processing

Customers purchase groceries, beverages, fast food, or prepaid electricity directly at the sales counter. The Shop Assistant captures the requested items, processes cash or card payments, and issues receipts or prepaid electricity tokens where applicable. Card transactions incur a small surcharge to recover banking fees, while electricity purchases are processed through an external utility vendor.

Inventory Management

Inventory is monitored through automatic deductions following each completed sale and supported by a monthly physical stock audit conducted by the Shop Owner. Physical stock counts are used to verify inventory accuracy and update inventory records where discrepancies are identified.

Inventory Replenishment

Fresh bread and other perishable products delivered weekly by suppliers, while non-perishable products are reordered from wholesalers when inventory levels become low. Purchasing decisions are based primarily on low-stock observations and the owner's operational knowledge of customer demand.

Cash Reconciliation

At the end of each week, the Shop Owner generates sales reports, counts the physical cash held by the business, reconciles cash against recorded transactions, and deposits the funds into the bank. This process provides financial control but requires significant manual effort.

Stakeholders

Shop Owner: Requires improved operational visibility and business reporting.

Shop Assistant: Requires an efficient system for processing sales and managing inventory.

Customers: Expect accurate transactions, faster service, and product availability.

Suppliers: Require timely and accurate inventory orders.

Business Requirements

Based on the analysis of the current business processes, the business requires an integrated Point-of-Sale (POS) and Inventory Management System that supports accurate sales processing, improved inventory management, efficient stock replenishment, and stronger financial control. The solution should reduce reliance on manual processes while providing reliable operational information to support day-to-day business management and decision-making.

Expected Business Benefits

The proposed solution is expected to improve inventory accuracy, reduce manual administrative effort, strengthen financial control, improve visibility of business performance, and support faster, more informed operational decision-making. By replacing manual processes with an integrated Point-of-Sale (POS) and Inventory Management System, the business will be better positioned to improve customer service, enhance operational efficiency, and support future growth.